信驊科技2024年第二季法人說明會

ASPEED Technology Investor Conference

August 22nd, 2024

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Agenda

- Company Profile
- 2Q24 Financial Results
- BMC in AI Servers
- 2024 H2 Outlook
- Q&A

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Company Profile

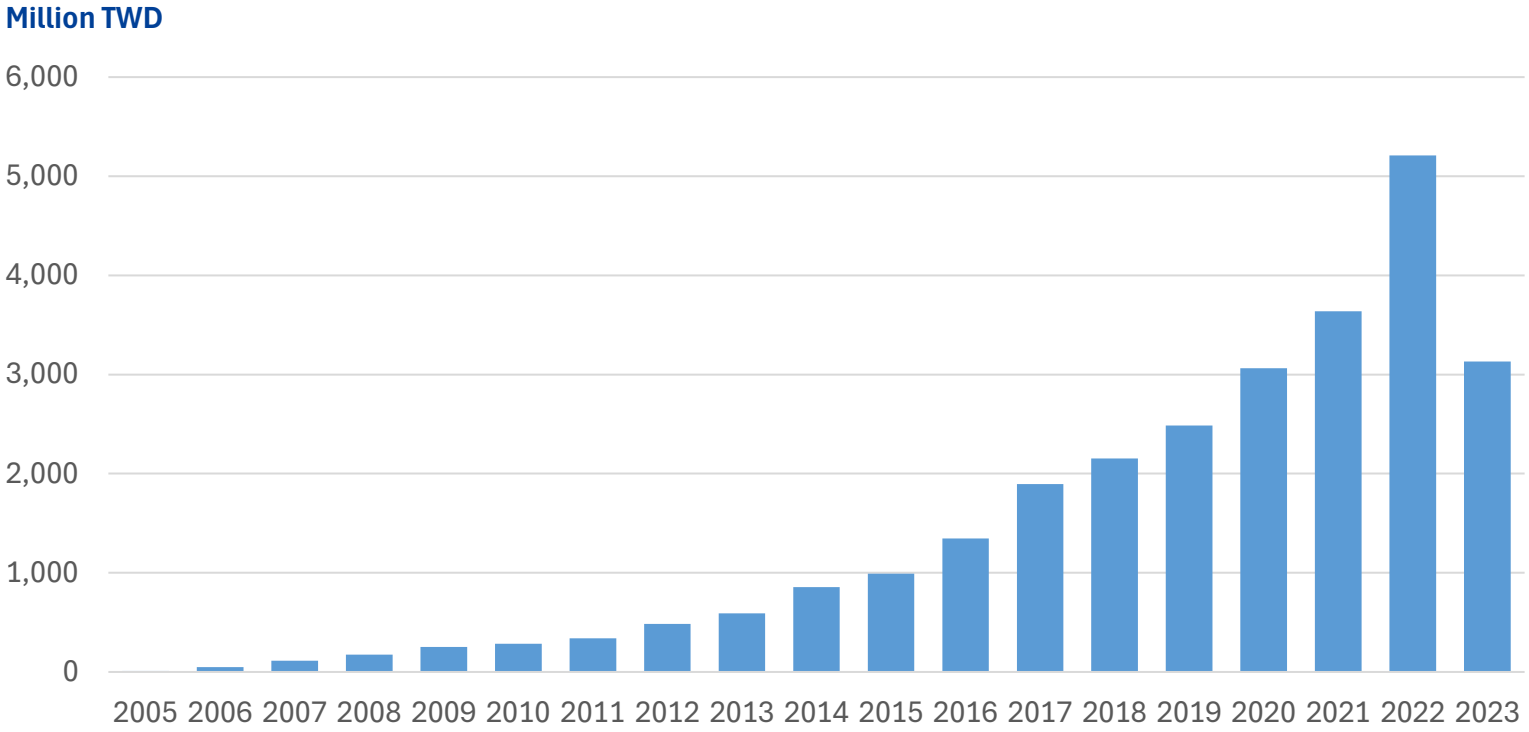
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Company Profile

- Founded in 2004
- Fabless-lite IC design company
- Number of employees: 125 (as of Nov. 2023)
- Product lineup (as of FY2023)
  - Cloud & Enterprise (BMC/BIC/PFR): 89% of revenue, **#1 in BMC**
  - Smart AV (Cupola360 & AVoIP SoC): 11% of revenue, **#1 in AV over IP (1G Ethernet)**
    #1 in Commercial 360 camera
- Locations:
  - Headquarter: Hsinchu City, Taiwan
  - Branch office: Taipei City, Taiwan
  - US office: San Jose, CA

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Historical Revenue



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Milestones

2004.11

- **ASPEED founded**

2005-2006

- **Introduced 1st gen BMC SoC AST2000/1000**
- Delivered 1st mass production of SoC shipment

2007-2008

- ISO 9001:2000 certified
- Introduced 2nd gen BMC SoC AST2100/2050/1100
- Introduced 3rd gen BMC SoC AST2200/2150

2009-2011

- Launched new product line: PC/AV Extension SoC
- Received funding from Intel Capital

2012-2014

- Listed on the Taiwan OTC stock market
- **Listed on Taipei Exchange**
- Introduced 6th gen BMC SoC AST2500

2015-2016

- **BMC SoC market share ranked No.1**
- **Acquired Broadcom Emulex Pilot™ BMC SoC Business**
- ISO9001:2015 certified

2017-2018

- Joined Open Compute Project (OPC)
- Introduced new product line: Cupola360 Spherical Image Processor
- ISO 14001:2015 certified

2019-2023

- Introduced 7th gen 28nm BMC SoC AST2600
- ISO 27001:2015 certified
- ISO 14064:2018 certified

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Awards & Recognition

2014 - 2023

Forbes Asia's Best Under A Billion for 10 consecutive years

2009

COMPUTEX
Best Choice Award

2008

Ranked 37th in Deloitte Asia Pacific Technology Fast 500

2020

Lenovo Technology Innovation Award

Chairman & President Mr. Chris Lin received NYCU Distinguished Alumni Award



2021

Chairman & President Mr. Chris Lin received Outstanding ICT Elite Award and NTHU Distinguished Alumni Award

High-Growth Companies Asia Pacific 2021 from the Financial Times



2022

COO Mr. CJ Hsieh received SEMI Industry Contribution Award and ISES Advisory Board Member Award

Taiwan Best-in-Class 100 from Taiwan Institute of Directors and CDRC Consulting Group



2023

Chairman & President Mr. Chris Lin received the ERSO Award

InfoComm Best of Show

Ranked 1st in Most Honored Company (All Asia Executive Team – Semiconductor) from Institutional Investor

Ranked 5th in Business Performance of Taiwan's Top 5000 Large Enterprises from CRIF

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2Q24
Financial Results

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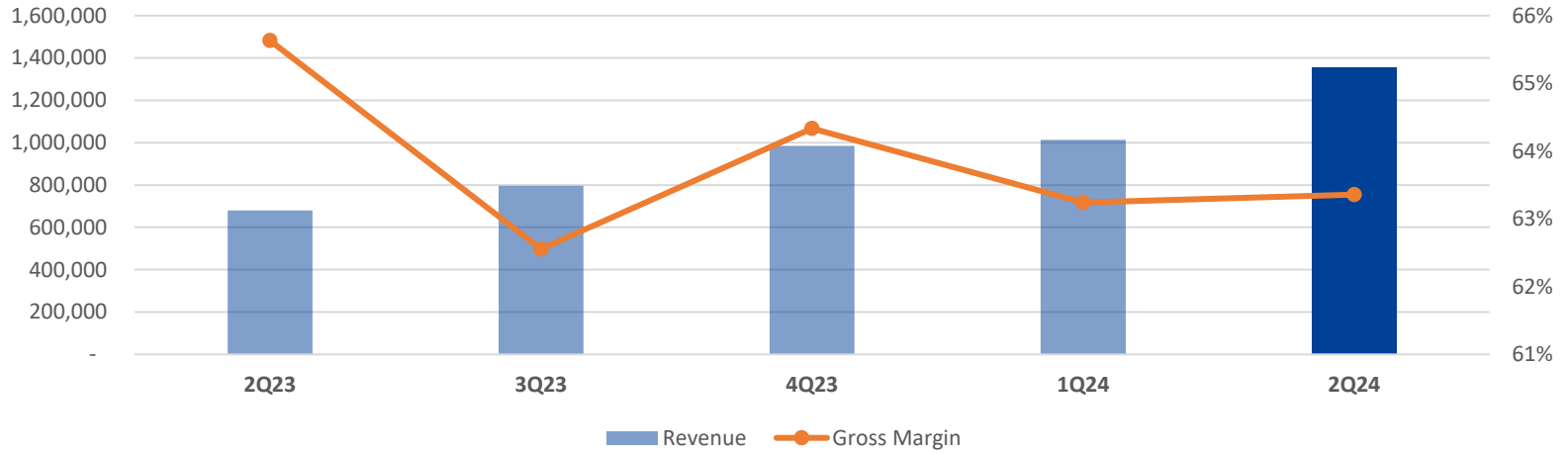
Income Statement

In NT$ thousands	2Q24	1Q24	2Q23	QoQ (%) 2Q24 over 1Q24	YoY (%) 2Q24 over 2Q23
Operating Revenue	1,356,045	1,013,473	680,039	33.80%	99.41%
Gross Profit	859,222	640,916	446,316	34.06%	92.51%
Gross Margin (%)	63.36%	63.24%	65.63%	+0.12ppts	-2.27ppts
Operating Expenses	279,069	254,490	231,377	9.66%	20.61%
Operating Profit	580,153	386,426	214,939	50.13%	169.92%
Operating Margin (%)	42.78%	38.13%	31.61%	+4.65ppts	+11.18ppts
Non-Operating Income and Expenses	53,447	81,792	68,374	-34.65%	-21.83%
Pre-Tax Profit	633,600	468,218	283,313	35.32%	123.64%
Net Income	507,796	391,350	240,352	29.75%	111.27%
Net Profit Margin (%)	37.45%	38.61%	35.34%	-1.17ppts	+2.10ppts
EPS (Basic)	13.44	10.36	6.37	29.73%	110.99%

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Consolidated Revenue

Unit : NTD 1,000

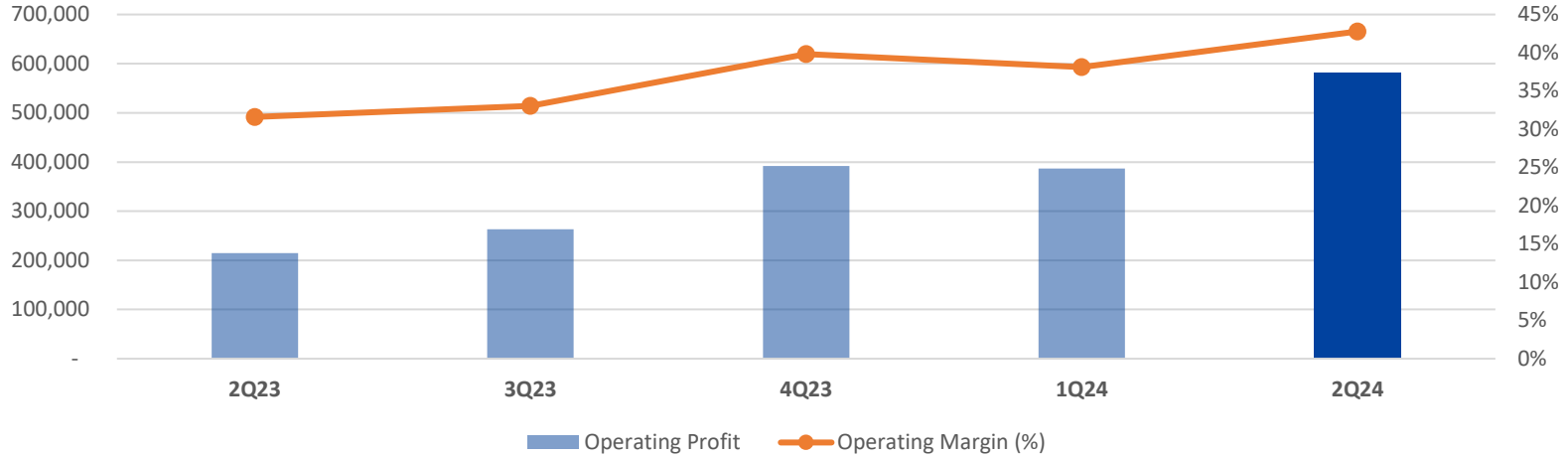


	2Q23	3Q23	4Q23	1Q24	2Q24	QoQ	YoY
Revenue	680,039	796,713	984,247	1,013,473	1,356,045	33.80%	99.41%
Gross Margin	65.63%	62.56%	64.33%	63.24%	63.36%	+0.12ppts	-2.27ppts

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Operating Profit

Unit : NTD 1,000

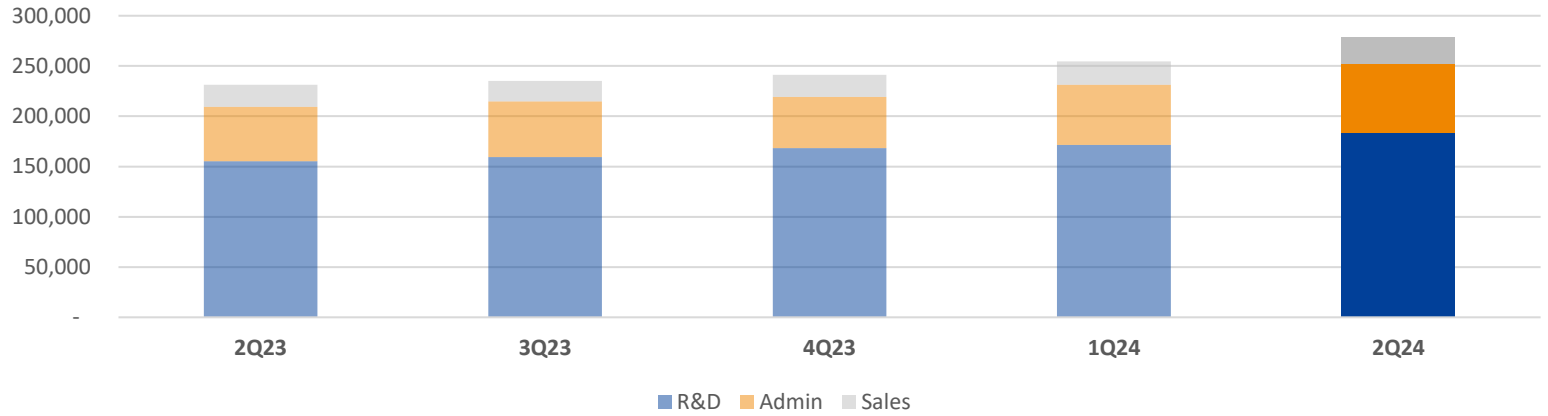


	2Q23	3Q23	4Q23	1Q24	2Q24	QoQ	YoY
Operating Profit	214,939	263,209	392,015	386,426	580,153	50.13%	169.92%
Operating Margin (%)	31.61%	33.04%	39.83%	38.13%	42.78%	+4.65ppts	+11.18ppts

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Operating Expenses

Unit : NTD 1,000

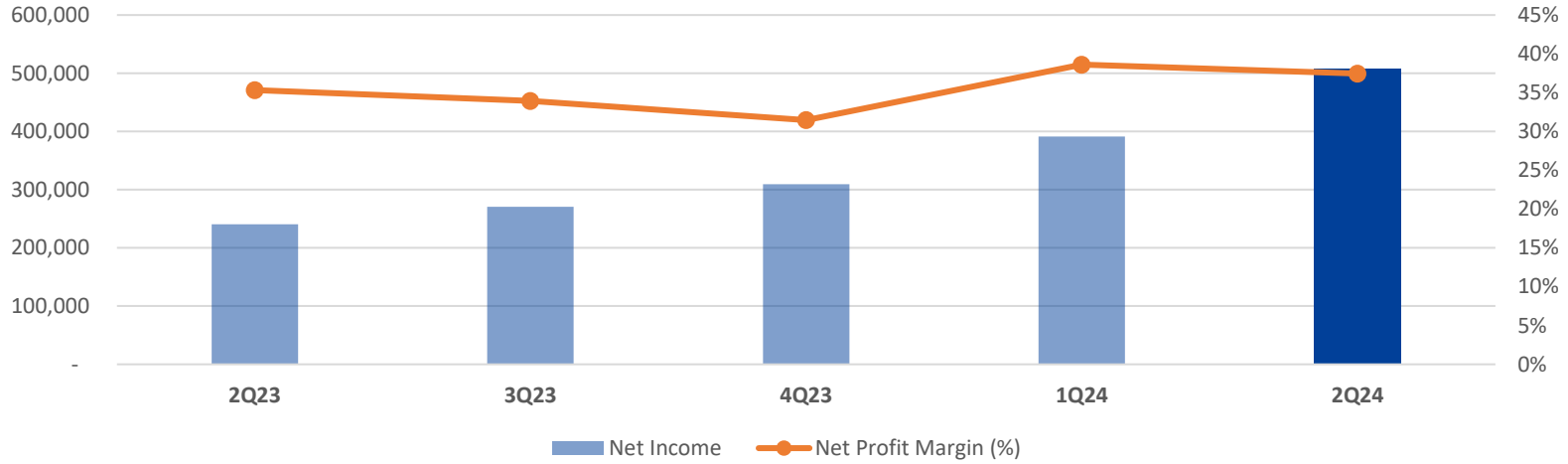


	2Q23	3Q23	4Q23	1Q24	2Q24	QoQ	YoY
R&D	155,374	159,511	168,378	171,554	183,548	6.99%	18.13%
Admin	54,089	55,330	50,962	59,731	68,944	15.42%	27.46%
Sales	21,914	20,345	21,858	23,205	26,577	14.53%	21.28%
Operating Expenses	231,377	235,186	241,198	254,490	279,069	9.66%	20.61%

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Net Income

Unit : NTD 1,000



	2Q23	3Q23	4Q23	1Q24	2Q24	QoQ	YoY
Net Income	240,352	270,455	309,694	391,350	507,796	29.75%	111.27%
Net Profit Margin (%)	35.34%	33.95%	31.47%	38.61%	37.45%	-1.17ppts	+2.10ppts

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Effective Tax Rate

Unit : NTD 1,000

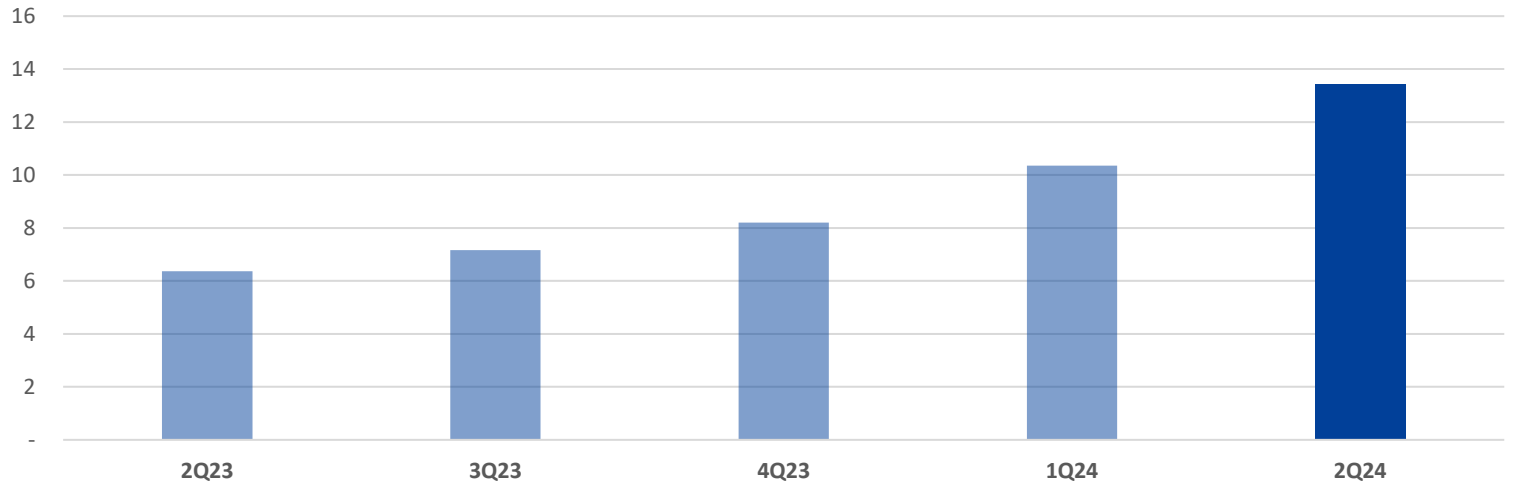


	2Q23	3Q23	4Q23	1Q24	2Q24	QoQ	YoY
Tax	42,961	69,092	32,954	76,868	125,804	63.66%	192.83%
Effective Tax Rate (%)	15.16%	20.35%	9.62%	16.42%	19.86%	+3.44ppts	+4.69ppts

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Earnings Per Share

Unit : NTD



Quarterly	2Q23	3Q23	4Q23	1Q24	2Q24	QoQ	YoY
EPS	6.37	7.16	8.20	10.36	13.44	29.73%	110.99%

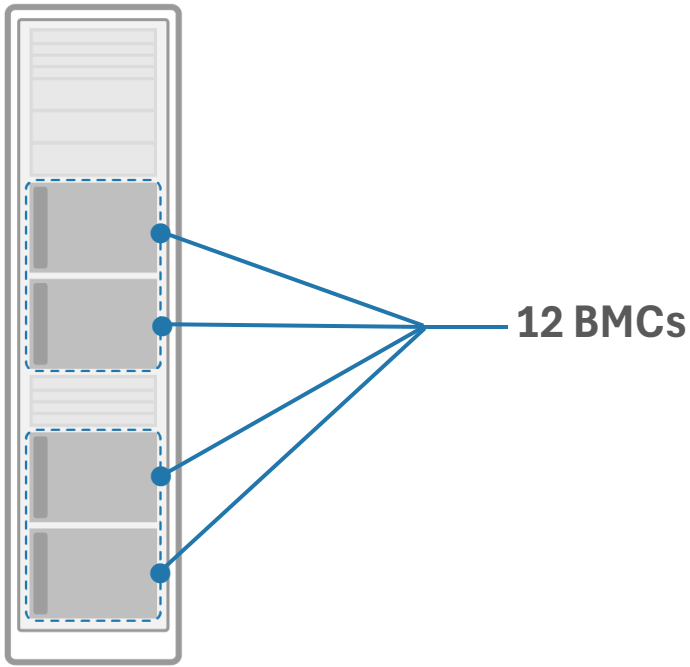
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BMC in AI Servers

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BMC as the Key Component in AI Servers

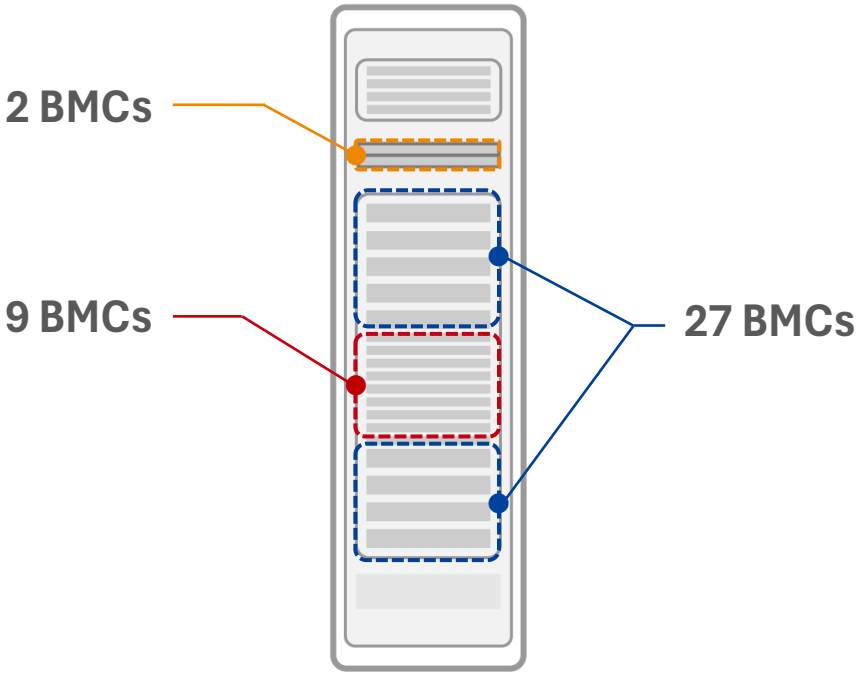


For **Hopper HGX**

- 12 BMCs in 4 compute trays

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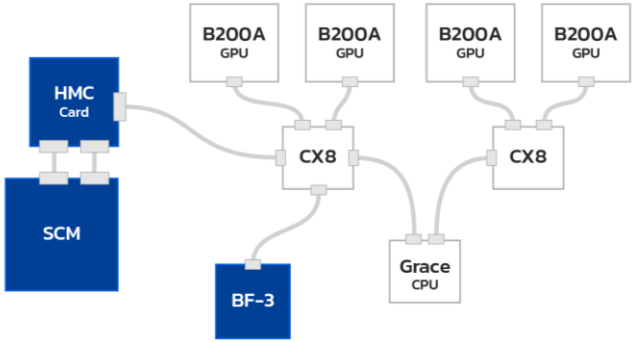
BMC Count in GB200A NVL36



There are **39 BMCs** in **GB200A NVL36**

- 27 BMCs in 9 compute trays
- 9 BMCs in 9 switch trays
- 2 BMCs in 2 power shelves
- 1 BMC in 1 out-of-band switches

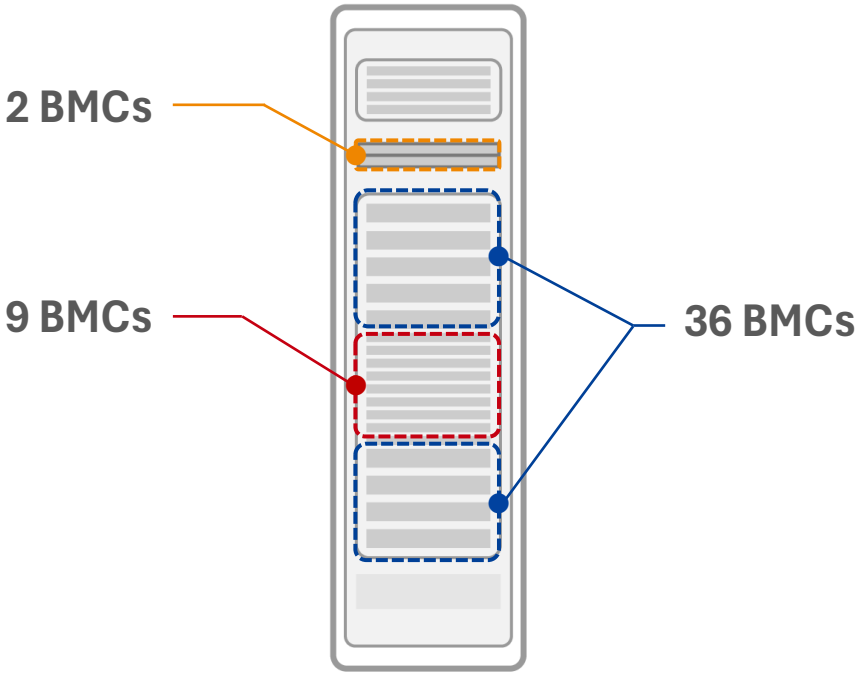
Simplified layout of a compute tray



Note: 1) ▭ are compute trays, ▭ represents switch trays, and ▭ is power shelves,
2) The power shelves can be at the top or bottom of the rack, and the upcoming design will have more power shelves.

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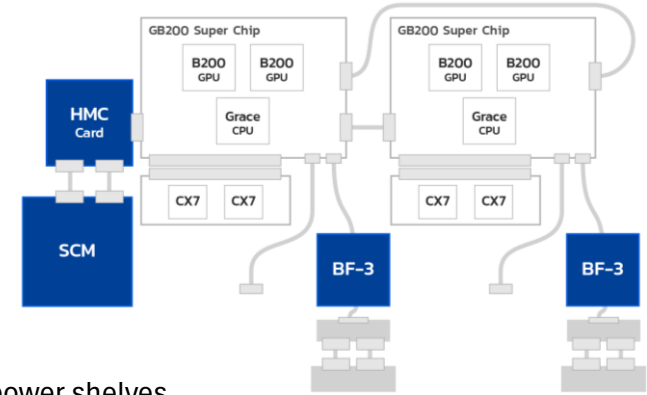
BMC Count in GB200 NVL36



There are **49 BMCs** in **GB200 NVL36**

- 36 BMCs in 9 compute trays
- 9 BMCs in 9 switch trays
- 2 BMCs in 2 power shelves
- 2 BMCs in 2 out-of-band switches

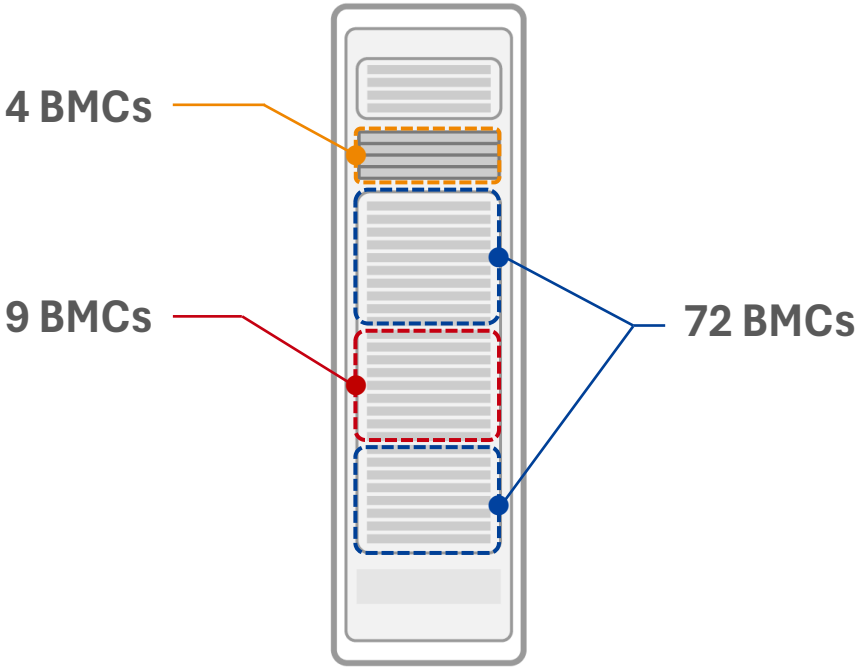
Simplified layout of a compute tray



Note: 1) ▭ are compute trays, ▭ represents switch trays, and ▭ is power shelves,
2) The power shelves can be at the top or bottom of the rack, and the upcoming design will have more power shelves.

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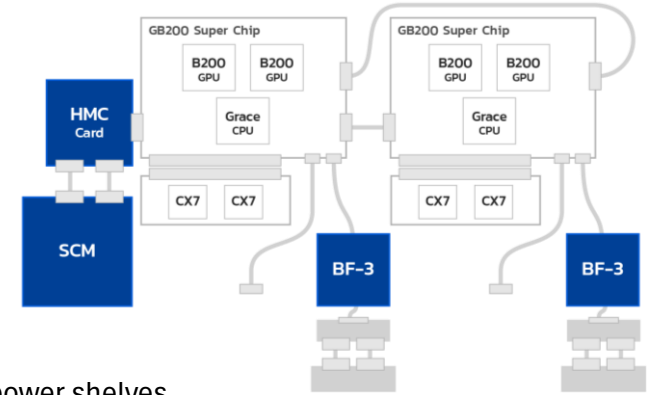
BMC Count in GB200 NVL72



There are **87 BMCs** in **GB200 NVL72**

- 72 BMCs in 18 compute trays
- 9 BMCs in 9 switch trays
- 4 BMCs in 4 power shelves
- 2 BMCs in 2 out-of-band switches

Simplified layout of a compute tray



Note: 1) ▭ are compute trays, ▭ represents switch trays, and ▭ is power shelves,
2) The power shelves can be at the top or bottom of the rack, and the upcoming design will have more power shelves.

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BMC Count Comparison by Performance

Assuming similar performance of 4x GB200A NVL36, 2x GB200 NVL36, and 1x GB200 NVL72, using the reference design for BMC count, the more shipment of **GB200A NVL36** is favorable for BMC demand.

Similar Performance	BMC Count	Rack Count	Total BMC Count
GB200A NVL36	39	4	**156**
GB200 NVL36	49	2	**98**
GB200 NVL72	87	1	**87**

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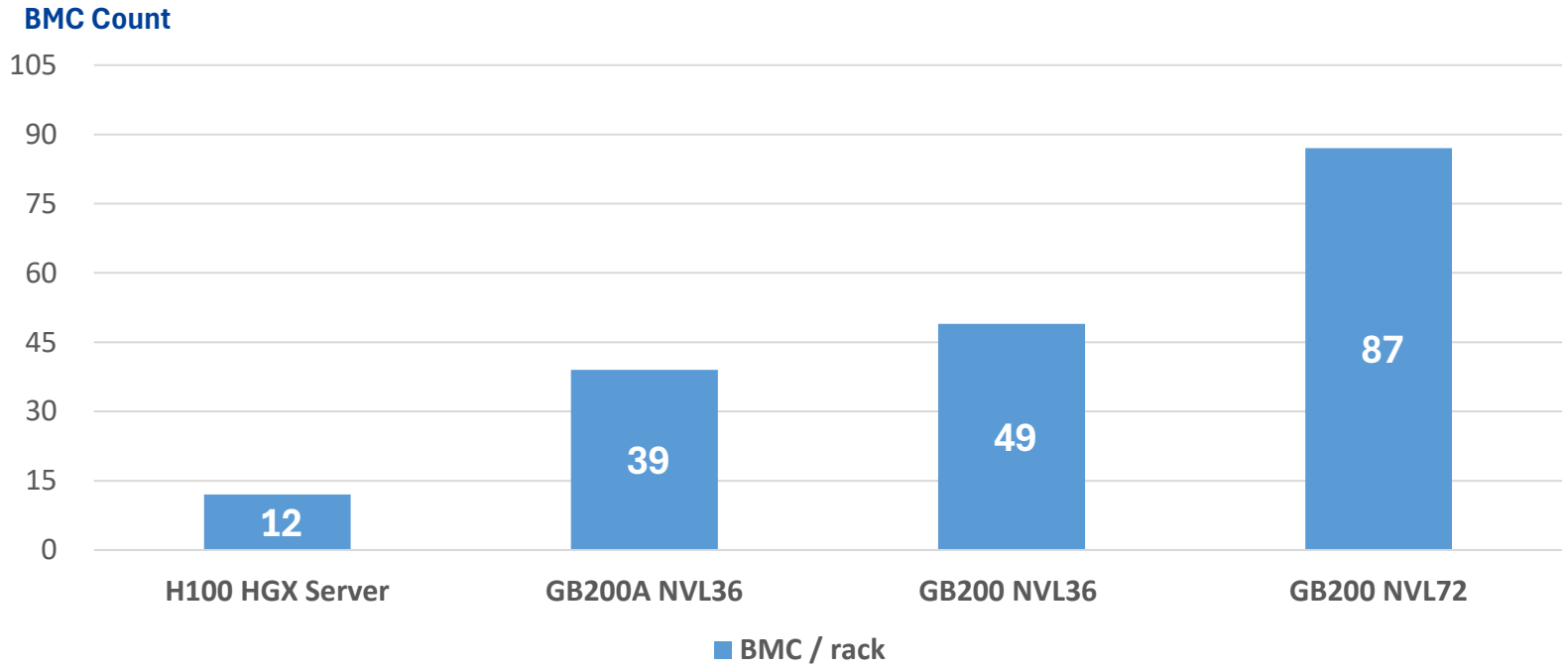
BMC Count Comparison by Budget

Assuming the same budge and the prices of GB200A NVL36, GB200 NVL36, and GB200 NVL72 are US$1.08M, $1.8M and $3.0M.

Same Budget	BMC Count	Rack Count	Total BMC Count
GB200A NVL36	39	2.78	**108.3**
GB200 NVL36	49	1.67	**81.7**
GB200 NVL72	87	1.00	**87**

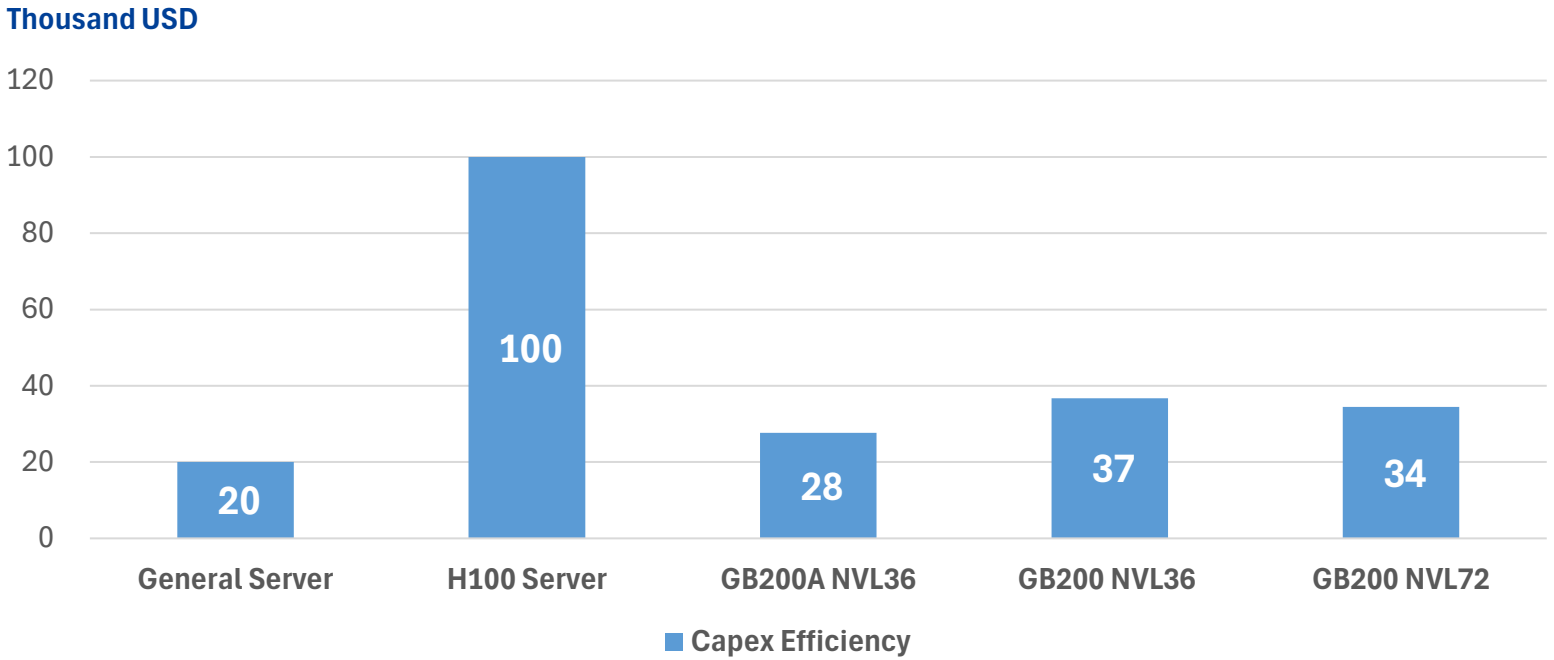
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BMC per Rack



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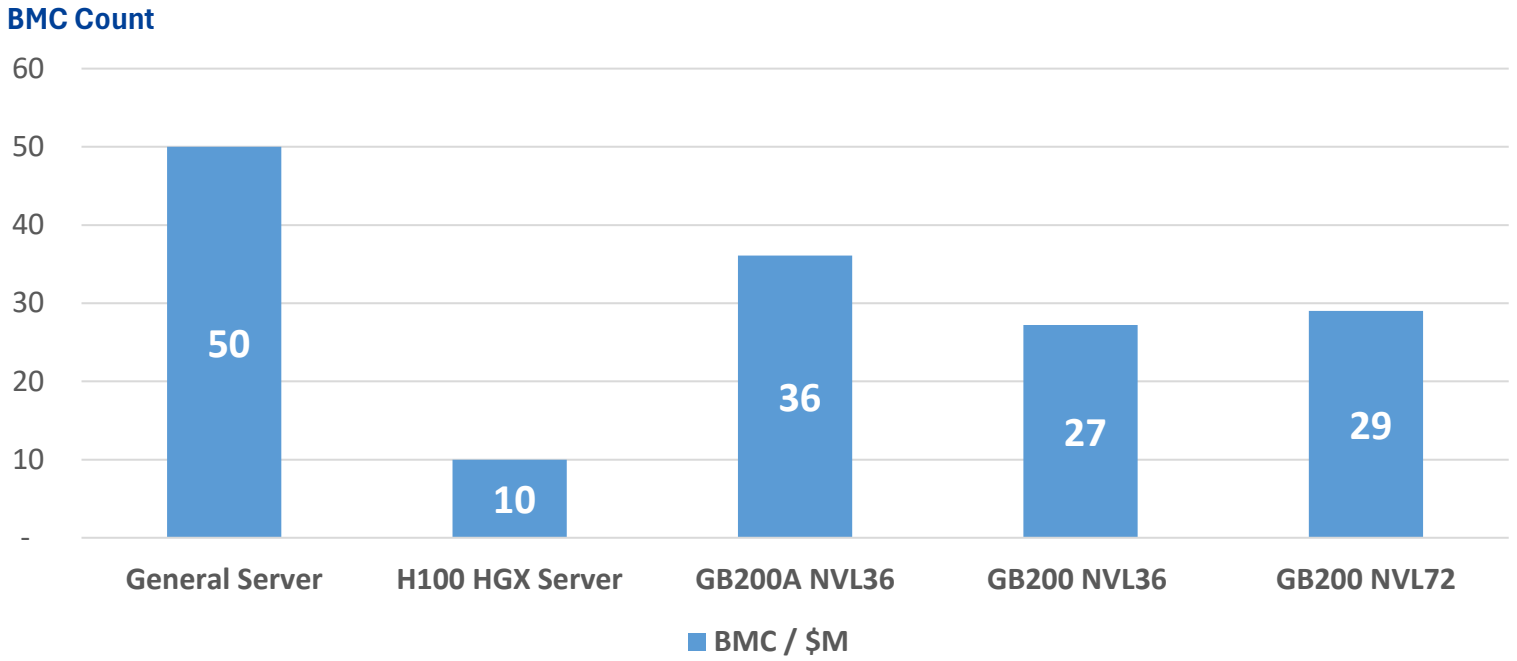
Capex Efficiency



Note: 1. Capex efficiency is defined as the amount of server spend that will contribute to one BMC demand.
2. Assuming the prices of GB200A NVL36, GB200 NVL36, and GB200 NVL72 are US$1.08M, $1.8M and $3.0M

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BMC Count per Million Spend



Note: Assuming the prices of GB200A NVL36, GB200 NVL36, and GB200 NVL72 are US$1.08M, $1.8M and $3.0M

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2024 H2 Outlook

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Business Outlook

Cloud & Enterprise Solutions

- Surprisingly strong demand from both general servers and AI servers.
- Accelerating penetration of AST2600 series.
- Increasing adoption of Bridge IC.

Smart AV

- From a challenging first half to a recovery in 2H 2024 for AVoIP.
- Cupola360 is gaining momentum in smart factories but takes time for revenue realization.

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Business Outlook

For 2024 Q3, we currently expect:

- Consolidated Revenue: Around **NT$1.75 billion ~ 1.85 billion**
- Gross margin: **63.2% ~ 64.7% (unchanged)**

For 2024 Q4, we currently expect:

- Consolidated Revenue: Around **NT$1.75 billion ~ 1.85 billion**
- Gross margin: **64.0% ~ 65.5%**

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Q&A

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